

# Class 12 Business Studies

## Chapter 3: Business Environment

### 1. Meaning of Business Environment

**Business Environment** means the totality of all individuals, institutions and other forces that are outside the control of a business enterprise but may affect its performance.

### 2. Features of Business Environment

1. **Totality of External Forces:** It consists of all external factors that affect a business.
2. **Specific and General Forces:** Specific forces directly affect an individual business, while general forces affect all businesses.
3. **Inter-relatedness:** Different factors of the business environment are closely connected with one another.
4. **Dynamic Nature:** The business environment keeps changing due to changes in technology, customers, government policies, etc.
5. **Uncertainty:** Future changes in the environment are difficult to predict accurately.
6. **Complexity:** The environment consists of many factors, making it difficult to understand all of them at once.
7. **Relativity:** Business environment differs from country to country and region to region.

### 3. Importance of Business Environment

1. **Enables the Firm to Identify Opportunities:** Helps businesses identify favourable situations and gain first-mover advantage.
2. **Helps in Identifying Threats:** Alerts the business to possible challenges and risks.
3. **Provides Useful Resources:** The environment provides resources such as finance, labour, materials and technology.
4. **Helps in Coping with Rapid Changes:** Helps businesses understand and respond to changing market conditions.
5. **Assists in Planning and Policy Formulation:** Environmental information helps managers make suitable plans and policies.
6. **Helps in Improving Performance:** Understanding environmental changes helps firms respond effectively and improve performance.

### 4. Dimensions of Business Environment

The five major dimensions are: **Economic, Social, Technological, Political and Legal** environment.

#### A. Economic Environment

Includes factors such as interest rates, inflation, income levels, GDP, taxation, monetary policy, fiscal policy and economic policies of the government.

#### B. Social Environment

Includes social values, customs, traditions, beliefs, literacy, education, lifestyle, population trends and consumer preferences.

#### C. Technological Environment

Includes changes in technology, innovations, research and development, automation and new methods of production and communication.

#### D. Political Environment

Includes political stability, government attitude towards business, policies of political parties and the relationship between business and government.

## E. Legal Environment

Includes laws, rules and regulations made by the government, such as consumer protection laws, company laws and labour laws.

## 5. New Economic Policy, 1991

In 1991, India introduced major economic reforms. The three major components were **Liberalisation, Privatisation and Globalisation (LPG)**.

- **Liberalisation:** Removal or reduction of unnecessary government controls and restrictions on business.
- **Privatisation:** Increasing the role of the private sector and reducing the role of the public sector in economic activities.
- **Globalisation:** Integration of the Indian economy with the world economy through greater international trade and investment.

## 6. Impact of Government Policy Changes on Business and Industry

1. **Increasing Competition:** Liberalisation and globalisation increased competition from domestic and foreign businesses.
2. **More Demanding Customers:** Greater choice and information made customers more demanding.
3. **Rapidly Changing Technological Environment:** Businesses had to adopt new technologies to remain competitive.
4. **Need for Change:** Businesses became more responsive and flexible due to changing policies and markets.
5. **Market Orientation:** Businesses increasingly focused on customer needs and market conditions.
6. **Loss of Budgetary Support to Public Sector:** Public sector enterprises faced greater pressure to improve efficiency and performance.

## 7. Demonetisation

**Demonetisation** refers to the withdrawal of the legal tender status of a currency note. In India, on 8 November 2016, ₹500 and ₹1,000 notes of the old series were withdrawn as legal tender.

Major objectives included curbing black money, reducing counterfeit currency, discouraging certain illegal activities and promoting formal/digital transactions.

## 8. Quick Revision Chart

| Topic                | Key Point                                                                               |
|----------------------|-----------------------------------------------------------------------------------------|
| Business Environment | Totality of external forces affecting business                                          |
| Features             | External forces, specific/general, inter-related, dynamic, uncertain, complex, relative |
| Importance           | Opportunities, threats, resources, changes, planning, performance                       |
| Dimensions           | Economic, Social, Technological, Political, Legal                                       |
| Liberalisation       | Removal/reduction of unnecessary restrictions                                           |
| Privatisation        | Greater role of private sector                                                          |
| Globalisation        | Integration with world economy                                                          |
| Demonetisation       | Withdrawal of legal tender status of specified currency notes                           |